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D.S Lakshmaiah And Another v. L. Balasubramanyam And Another

Supreme Court Of India (Aug 27, 2003)

CASE NO.

Civil Appeal No. 2089 of 2000, decided on August 27, 2003

DISPOSITION

ALLOWED

JUDGES

- Justice Y.K. Sabharwal

ATTORNEY

- S.K Kulkarni, M. Gireesh Kumar and Ms Sangeeta Kumar, Advocates, for the Appellants;
- Ms Kiran Suri, Advocate, for the Respondents.

SUMMARY**Factual and Procedural Background**

Appellant 1 (husband) and Respondent 2 (wife) are spouses; Respondent 1 is their son. The respondents (mother and son) filed a suit seeking a declaration that they held a 2/3 share in two properties—Item 1 and Item 2—along with partition and possession. They asserted that Item 2 was ancestral *property* that had devolved on Appellant 1 in a partition with his brothers, and that Item 1 had been acquired out of joint Hindu family funds. During the suit, Appellant 1 sold Item 1 to Appellant 2, who was then impleaded as Defendant 2.

The trial court decreed the suit in favour of the plaintiffs. On appeal, the first appellate court reversed, holding Item 1 to be the self-acquired *property* of Appellant 1 and finding no evidence of an ancestral nucleus capable of funding its purchase. The High Court, in second appeal (prosecuted only by the mother after the son withdrew), reinstated the trial court's decree. The present Supreme Court judgment arises from an appeal by the

defendants (now appellants) challenging the High Court's decision.

Legal Issues Presented

1. Whether Item 1 was self-acquired *property* of Appellant 1 or joint Hindu family *property* in which the respondents held a 2/3 share.
2. Which party bears the burden of proof regarding the existence of an ancestral nucleus sufficient to purchase Item 1.
3. Whether Item 1, even if originally self-acquired, became joint family *property* by voluntary blending.

Arguments of the Parties

Respondents (Original Plaintiffs)

- Item 1 was bought with joint family funds; therefore, it is joint *property* and they are entitled to a 2/3 share.
- The burden lay on Appellant 1, as karta/manager, to prove that Item 1 was purchased from his separate income.
- Alternatively, Appellant 1 had blended Item 1 with joint family assets, converting it into joint *property*.

Appellants (Original Defendants)

- The respondents failed to prove any ancestral nucleus — particularly income from Item 2—capable of funding the purchase of Item 1.
- Under settled Hindu-law principles, the burden of proof rests on the party asserting joint family status unless a sufficient nucleus is shown.
- No evidence supports the allegation of blending; mere permissive use by family members does not establish abandonment of separate rights.

Table of Precedents Cited

Precedent	Rule or Principle Cited For	Application by the Court
Appalaswami v. Suryanarayanamurti, AIR 1947 PC 189	Burden of proving joint character lies on the claimant; shifts only if an adequate ancestral nucleus is established.	Relied upon as the foundational statement of law governing burden-shifting in joint family <i>property</i> disputes.

Srinivas Krishnarao Kango v. Narayan Devji Kango, AIR 1954 SC 379	Importance of proving income from the alleged nucleus; sufficiency of nucleus is a question of fact.	Cited for the proposition that without evidence of income, the burden does not shift to the alleged self-acquirer.
Mudi Gowda Gowdappa Sankh v. Ram Chandra Ravagowda Sankh, (1969) 1 SCC 386	Onus shifts only after an adequate nucleus is shown.	Used to reinforce that the respondents had to prove sufficiency of ancestral funds before invoking any presumption.
Baikuntha Nath Paramanik v. Sashi Bhusan Pramanik, (1973) 2 SCC 334	Presumption of joint ownership arises when a family possesses a sufficient nucleus.	Quoted to clarify when such presumption may legitimately arise.
Surendra Kumar v. Phoolchand, (1996) 2 SCC 491	Restates the burden-shifting principle once a sufficient nucleus is proved.	Invoked to summarise contemporary affirmation of the Privy Council rule.
Mallesappa Bandeppa Desai v. Desai Mallappa, AIR 1961 SC 1268	Manager in possession of joint funds must prove self-acquisition if he asserts separate ownership.	Distinguished on facts: unlike that case, no evidence showed Appellant 1 held joint funds.
Achuthan Nair v. Chinnammu Amma, AIR 1966 SC 411	Where sufficient joint nucleus exists, acquisitions in the manager's name are presumed joint.	Held inapplicable because respondents failed to establish any earning nucleus.
Mallappa Girimallappa Betgeri v. R. Yellappagouda Patil, AIR 1959 SC 906	Presumption of joint ownership when courts find a sufficient nucleus.	Distinguished; sufficiency of nucleus was established in that case but not in the present matter.
Lakkireddi Chinna Venkata Reddi v. Lakkireddi Lakshmama, AIR 1963 SC 1601; (1964) 2 SCR 172	"Blending" requires clear intention to abandon separate rights; generosity or shared use is inadequate.	Applied to reject the respondents' alternative plea of blending.

K.V. Narayanan v. K.V. Ranganandhan, (1977) 1 SCC 244	Further authority on requirements for proving blending.	Cited alongside Lakkireddi to negate the blending contention.
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Court's Reasoning and Analysis

The Supreme Court began by reaffirming that mere existence of a joint Hindu family does not create a presumption that all *property* held by its members is joint. Referring to the Privy Council and subsequent Supreme Court rulings, the Court held that the claimant must first establish the existence of an ancestral nucleus sufficient in value and income to fund the disputed acquisition. Only then does the burden shift to the alleged acquirer to prove that the *property* is self-acquired.

Applying this test, the Court noted:

- Item 2, although ancestral, measured only 15 guntas and no evidence was led about its income or value.
- The respondents adduced no proof of any other ancestral funds.
- Conversely, while Appellant 1 had not proved a separate income, that omission was irrelevant because the initial burden never shifted to him.

Consequently, the High Court erred in presuming Item 1 to be joint *property*. On the alternative plea of blending, the Court held that no evidence showed a clear intention by Appellant 1 to abandon separate rights; permissive use by family members is insufficient to infer blending.

Holding and Implications

Appeal Allowed; High Court judgment set aside; first appellate court's dismissal of the suit restored.

Item 1 is declared the self-acquired *property* of Appellant 1, and Appellant 2's purchase of the entire *property* is upheld. The respondents' claim to a 2/3 share in Item 1 fails. Each party is to bear its own costs. The decision reiterates, but does not modify, the established burden-of-proof rules governing joint family *property* and therefore sets no new precedent beyond clarifying their application to the facts of the case.

JUDGMENT

Y.K Sabharwal, J.— Appellant 1 and Respondent 2 are husband and wife respectively. Respondent 1 is their son. The second appellant purchased the *property* in question from the first appellant.

2. The respondents in this appeal are original plaintiffs. They filed a suit for declaration of their 2/3rd share, partition and possession thereof in respect of two properties described as

Item 1 and Item 2. According to them, Schedule Item 2 *property* came to Appellant 1 (original Defendant 1 in the suit) in partition between him and his brothers as it is an ancestral *property*. Item 1 *property*, according to the averments in the plaint, was acquired by the plaintiffs and the first defendant out of joint Hindu family funds and the first defendant was trying to alienate the suit *property* for his self-benefit and not for the benefit of the members of the family. When, during the pendency of the suit, it came to the notice of the plaintiffs that Item 1 *property* had been sold by the first appellant, on their application, Appellant 2 was impleaded as Defendant 2 in the suit.

3. The trial court decreed the suit holding that the respondents are entitled to 2/3rd share in the properties as also possession thereof and also granting other consequential reliefs.

4. The first appellate court, however, allowed two separate appeals that had been filed by each of the appellants and the suit was ordered to be dismissed. It was held that the respondents have failed to prove that Item 1 *property* was joint Hindu family *property*. The said *property* was held to be the self-acquired *property* of the first appellant. It further held that Respondent 1 has failed to prove that any amount of income was available in the hands of the first appellant to purchase Item 1 *property* noticing that except 15 guntas of land (Item 2 *property*), there was no ancestral *property* with the first appellant and that the trial court was not correct in observing that it was for the first appellant to show that no nucleus of ancestral *property* was available with him to purchase Item 1 *property*.

5. The judgment and decree of the first appellate court was challenged by the respondents before the High Court in a second appeal (Regular Second Appeal No. 213 of 1991). That appeal was filed by the son and mother. On a memo filed by Respondent 1 who was first appellant before the High Court, his second appeal was dismissed and only the claim of his mother who prosecuted the second appeal was examined by the High Court. The High Court by the impugned judgment restored the judgment and decree of the trial court, setting aside that of the first appellate court.

6. The High Court has held that Item 2 *property* has been proved to be joint Hindu family *property* and the respondents have a share in it. The finding in respect of Item 2 *property* has not been challenged before us. Even otherwise, there is no ground to upset the said finding of fact. The only controversy that has been raised before us is in respect of Item 1 *property*. The said *property* was purchased by the first appellant in the year 1970-71. It was sold by him in favour of the second appellant in the year 1987 after filing of the suit. The only question to be examined is whether Item 1 *property* was self-acquired *property* of the first appellant or it was joint Hindu family *property* in which the respondent-plaintiffs had 2/3rd share. Answering this question in favour of the respondents, the High Court has held that the second appellant could only be entitled to purchase 1/3rd share from the first appellant who had no right to sell the remaining 2/3rd share in Item 1 *property*.

7. The question to be determined in the present case is as to who is required to prove the nature of *property* whether it is joint Hindu family *property* or self-acquired *property* of

the first appellant.

8. There was evidence and it has been established that Item 2 measuring 15 guntas of land was joint Hindu family *property* but, admittedly, no evidence has been led that the said joint Hindu family *property* was yielding any income or that any nucleus was available with the aid whereof Item 1 *property* could be purchased by the first appellant. Admittedly, no evidence has been led on behalf of the respondent-plaintiffs to show income from Item 2 *property* or value of the *property*. At the same time no evidence has also been led by the first appellant to prove that he had any separate income so as to acquire Item 1 *property*. In absence of evidence either way which party would succeed and which fail, is the question. The legal position is well settled as we will presently notice.

9. In Appalaswami v. Suryanarayanamurti [AIR 1947 PC 189](#), 1947 All LJ 587 in a partition suit filed against their father by minor sons from the first marriage, the father claimed that the properties in question were his self-acquired properties and denied that the plaintiffs had any right to seek partition. The High Court, reversing the judgment of the trial court, held that the view expressed by the trial court that joint family *property* was only that which the father took under partition Exhibit A was not correct and further held that whole of the *property* set out in the schedule to the written statement of the appellant father, which had been acquired after partition Exhibit A was joint family *property*. The contention accepted by the High Court was that the share which the father took under Exhibit A formed the nucleus from which all his further acquisitions sprang. The plea of the father that was accepted by the Privy Council was that the whole of the *property* that came to him under Exhibit A was intact and unencumbered except a small portion sold which amount had been debited against household expenditure. The Privy Council held that the Hindu law upon this aspect of the case is well settled. Proof of the existence of a joint family does not lead to the presumption that *property* held by any member of the family is joint, and the burden rests upon anyone asserting that any item of *property* is joint to establish the fact. But where it is established that the family possessed some joint *property* which from its nature and relative value may have formed the nucleus from which the *property* in question may have been acquired, the burden shifts to the party alleging self-acquisition to establish affirmatively that the *property* was acquired without the aid of the joint family *property*. In the case before the Privy Council, on facts, it was held that the burden had shifted to the father to prove self-acquisition of properties as it was established that the family possessed joint *property* which from its nature and relative value, may have formed the nucleus to acquire the *property* in question. Those properties were large in number and have been noticed in the Privy Council decision. However, on further facts found, it was held that the father had discharged that burden. The properties were held to be self-acquired properties of the appellant.

10. In Srinivas Krishnarao Kango v. Narayan Devji Kango [AIR 1954 SC 379](#) the contention that was urged on behalf of the appellant was that the burden was wrongly cast on the plaintiff of proving that the acquisition of the properties were made with the aid of joint family funds, the argument being that as the family admittedly possessed the ancestral

watan lands of the extent of 56 acres, it must be presumed that the acquisitions were made with the aid of joint family funds and, therefore, the burden lay on the defendants who claimed that they were self-acquired acquisitions to establish that they were made without the aid of joint family funds and that the evidence adduced by them fell far short of it and that the presumption in favour of the plaintiff stood un rebutted. It was noticed by this Court that on the question of the nucleus, the only properties which were proved to belong to the joint family were the watan lands of the extent of about 56 acres bearing an annual assessment of Rs 49. There was no satisfactory evidence about the income which these lands were yielding at the material time. Under these circumstances, noticing with approval the aforesaid Privy Council decision, it was held that whether the evidence adduced by the plaintiff was sufficient to shift the burden which initially rested on him to establish that there was adequate nucleus out of which the acquisition could have been made is one of fact depending on the nature and extent of the nucleus. The important thing to consider is the income which the nucleus yields. A building in the occupation of the members of a family and yielding no income could not be a nucleus out of which acquisitions could be made, even though it might be of considerable value. On the other hand, a running business in which the capital invested is comparatively small might conceivably produce substantial income which may well form the foundation of the subsequent acquisitions.

11. In *Mudi Gowda Gowdappa Sankh v. Ram Chandra Ravagowda Sankh* [\(1969\) 1 SCC 386](#) noticing the observations of Sir John Beaumont in *Appalaswami* case [AIR 1947 PC 189](#), 1947 All LJ 587 it was reiterated that the burden of proving that any particular *property* is joint family *property* in the first instance is upon the person who claims it to be so. But if the possession of a nucleus of the joint family *property* is either admitted or proved, any acquisition made by a member of the joint family is presumed to be joint family *property*. This is, however, subject to the limitation that the joint family *property* must be such as with its aid the *property* in question could have been acquired. It is only after the possession of an adequate nucleus is shown, that the onus shifts on to the person who claims the *property* as self-acquisition to affirmatively make out that the *property* was acquired without any aid from the family estate. We are unable to accept the contention of the learned counsel for the respondents that the aforesaid later observations have been made without reasons or that the Privy Council's decision does not hold so. The observation that only after possession of adequate nucleus is shown that the onus shifts also gets support from *Srinivas Krishnarao Kango* case [AIR 1954 SC 379](#) where, while considering the question of shifting of burden, it has been held that the important thing to consider is the income which the nucleus yields.

12. In *Baikuntha Nath Paramanik v. Sashi Bhusan Pramanik* [\(1973\) 2 SCC 334](#) this Court again held that when a joint family is found to be in possession of nucleus sufficient to make the impugned acquisitions then a presumption arises that the acquisitions standing in the names of the persons who were in the management of the family properties are family acquisitions.

13. In *Surendra Kumar v. Phoolchand* [\(1996\) 2 SCC 491](#) this Court held that where it is

established or admitted that the family which possessed joint *property* which from its nature and relative value may have formed sufficient nucleus from which the *property* in question may have been acquired, the presumption arises that it was joint *property* and the burden shifts to the party alleging self-acquisition to establish affirmatively that the *property* was acquired without the aid of the joint family funds.

14. We may now refer to three decisions whereupon reliance has been placed by the learned counsel for the respondents. In *Mallesappa Bandeppa Desai v. Desai Mallappa* [AIR 1961 SC 1268](#) this Court held that where a manager claims that any immovable *property* has been acquired by him with his own separate funds and not with the help of the joint family funds of which he was in possession and charge, it is for him to prove by clear and satisfactory evidence his plea that the purchase money proceeded from his separate fund. The onus of proof in such a case has to be placed on the manager and not on his coparceners. It is difficult to comprehend how this decision lends any support to the contention of the respondents that in absence of leading any evidence, the claim of Appellant 1 of the *property* being self-acquired has to fail. In the cited decision, the manager was found to be in possession and in charge of the joint family funds and, therefore, it was for him to prove that despite it he purchased the *property* from his separate funds. In the present case, admittedly, no evidence has been led by the respondents that the first appellant was in possession of any such joint family funds or as to value or income, if any, of Item 2 *property*.

15. In *Achuthan Nair v. Chinnammamma Amma* [AIR 1966 SC 411](#) it was noticed that there were a number of properties owned by the joint family which were received at the time of separation under a decree passed in a partition suit. The claim of the defendants in the written statement was that the *property* in question had been purchased from the private funds of Defendant 1 and her son Defendant 4. In this decision too, it was reiterated that when it is proved or admitted that a family possessed sufficient nucleus with the aid of which the member might have made the acquisition, the law raises a presumption that it is a joint family *property* and the onus is shifted to the individual member to establish that the *property* was acquired by him without the aid of the said nucleus. After noticing these settled propositions, it was observed that if a *property* is acquired in the name of a karnavan, there is a strong presumption that it is a tarwad (joint Hindu family) *property* and the presumption must hold good unless and until it is rebutted by acceptable evidence. This Court did not hold that if a *property* is acquired in the name of karta, the law as to presumption or shifting of onus would be different. The question of presumption would depend upon the facts established in each case. In the present case, no evidence of nucleus having been led, the onus remained on the respondents and, therefore, there could be no question of presumption about the *property* being joint family *property*.

16. The last decision relied upon is *Mallappa Girimallappa Betgeri v. R. Yellappagouda Patil* [AIR 1959 SC 906](#). It cites with approval the earlier decision in the case of *Srinivas Krishnarao Kango* [AIR 1954 SC 379](#). On facts, it was noticed that the courts below had held that the *property* provided a sufficient nucleus of joint family *property* out of which the properties in question might have been acquired and the sufficiency of nucleus is again

a question of fact. In view of those circumstances, there was presumption of the properties being properties of joint family and the said presumption had not been displaced.

17. In view of the aforesaid discussion, the respondents having failed to discharge the initial burden of establishing that there was any nucleus in the form of any income whatsoever from Item 2 *property* and no other nucleus was claimed, the burden remained on the respondents to establish that Item 1 *property* was joint family *property*. In this view, the fact that the first appellant has not led any evidence to establish his separate income is of no consequence insofar as the claim of the respondents is concerned. Under these circumstances, for failure to lead evidence, the respondents' claim of Item 1 to be joint family *property* would fail as rightly held by the first appellate court.

18. The legal principle, therefore, is that there is no presumption of a *property* being joint family *property* only on account of existence of a joint Hindu family. The one who asserts has to prove that the *property* is a joint family *property*. If, however, the person so asserting proves that there was nucleus with which the joint family *property* could be acquired, there would be presumption of the *property* being joint and the onus would shift on the person who claims it to be self-acquired *property* to prove that he purchased the *property* with his own funds and not out of joint family nucleus that was available.

19. Another contention urged for the respondents was that assuming Item 1 *property* to be self-acquired *property* of Appellant 1, he blended the said *property* with the joint family *property* and, therefore, it has become joint family *property*. Assuming the respondents can be permitted to raise such a plea without evidence in support thereof, the law on the aspect of blending is well settled that *property* separate or self-acquired of a member of a joint Hindu family may be impressed with the character of joint family *property* if it is voluntarily thrown by the owner into the common stock with the intention of abandoning his separate claim therein; but to establish such abandonment a clear intention to waive separate rights must be established. From the mere fact that other members of the family were allowed to use the *property* jointly with himself, or that the income of the separate *property* was utilised out of generosity to support persons whom the holder was not bound to support, or from the failure to maintain separate accounts, abandonment cannot be inferred, for an act of generosity or kindness will not ordinarily be regarded as an admission of a legal obligation (see *Lakkireddi Chinna Venkata Reddi v. Lakkireddi Lakshmama* AIR 1963 SC 1601, [\(1964\) 2 SCR 172](#) and *K.V Narayanan v. K.V Ranganandhan* [\(1977\) 1 SCC 244](#)).

20. In the present case, the respondents have not led any evidence on the aforesaid aspects and, therefore, it cannot be held that the first appellant blended Item 1 *property* into the joint family account.

21. In view of the aforesaid discussion, Item 1 *property* cannot be held to be joint family *property*. The impugned judgment of the High Court is, therefore, set aside and the appeal allowed and the judgment and decree of the first appellate court is restored. In the circumstances of the case, parties are left to bear their own costs.